Cash Management

Policy Birmingham City Board of Education will maintain an effective system of cash management that anticipates cash needs and plans adequately to satisfy those needs.

General Cash is required to pay for all goods and services purchased by the Board and to meet future obligations as they come due. The disbursement of cash is a regular occurrence, and a sufficient level of cash should be kept available to meet these needs. Therefore, only cash necessary to meet anticipated expenditures plus a reasonable reserve for emergencies should be kept available. Any excess cash should be invested in instruments backed by government securities as specified by law.

Procedures **Maximizing Return on Idle Funds**

Cash not required for operations will be invested. The cash balances in all Birmingham City Board of Education central office bank accounts will be monitored by the Chief School Financial Officer and the Superintendent. Any amount accumulated over the target balance in the checking accounts will be transferred into the appropriate investment vehicle, such as C.D.s, money markets, repurchase agreements and/or Treasury bills/notes. An activity report shall be sent by the banking institution every time funds are transferred into or out of the investment accounts. A monthly investment report shall also be received which will be used to post monthly interest earned and to reconcile the investment accounts to the amounts recorded in the general ledger. Interest rates will be monitored on the investment accounts and if other investment vehicles are earning higher interest rates, funds will be transferred from the investment account into the higher yield investment vehicle.

The Board shall purchase certificates of deposit (CDs) on a competitive basis. Competitive quotes for CDs maturing in one year or less on fixed rate CDs and two years or less on floating rate CDs will be obtained from qualified financial institutions. The Chief School Financial Officer and the Superintendent will choose what best fits the Board's portfolio based on the maturity required, liquidity requirements, the current makeup of the portfolio and the offered rate. The Chief School Financial Officer will provide the Board an investment report at least quarterly of the investment activity and interest earned.

In addition to the money market accounts, various government agency investment securities and other obligations of the U.S. government, such as Treasury Bills and Treasury Notes, shall be purchased by the investment official of the bank awarded the banking services of the Board. These shall be purchased with staggered maturity dates to maximize return and diversify the investment portfolio. Reports shall be sent by the bank upon purchases, interest payments and investment maturities. Upon receipt of these reports, the Chief School Financial Officer will ensure that journal entries are prepared to record the investment activity.

Collateralization:

All deposits of the Board must be secured by pledged collateral in an amount greater than the highest balance during any month, or deposited with a Qualified Public Depository of the Security for Alabama Funds Enhancement (SAFE) Program, according to Sections 41-14A-2 through 41-14A-6, 41-14A-8 and 41-14A-9, *Code of Alabama 1975,* as amended.